

DISCO (6146.T)

Preliminary non-consolidated sales: 2Q shipments beat on consumables; expect shipment value to gradually increase from 3Q; reiterate Buy

6146.T 12m Price Target: ¥105,000 Price: ¥65,160 Upside: 61.1%

Disco released preliminary non-consolidated sales and shipment values for 2Q3/27 (Jul-Sep) after the close on October 6. We summarize the key points below.

Shipments beat guidance/consensus, mainly driven by consumables

2Q non-consolidated shipments, a leading indicator for future earnings, came in at ¥123.9 bn, versus the company's assumption of just under ¥118 bn and our estimate of ¥118.5 bn. If the parent-to-consolidated ratio was 1.2x, as Disco assumes, then consolidated shipments were likely just under ¥150 bn, meaning they were likely to have been slightly above the Bloomberg consensus of around ¥145 bn. The company noted that exchange rates were in line with its ¥159/USD assumption, with no major deviation from guidance, and that the beat was mainly driven by consumables and miscellaneous others (equipment was mostly in line with guidance). The company said it does not currently view the trend in decreasing HBM layer counts (de-spec) as a particularly negative development internally, since equipment demand is ultimately linked to HBM wafer capacity.

Estimate consensus beats in acceptance/inspection-based sales and 2Q operating profits

2Q non-consolidated sales on an acceptance/inspection basis came in at ¥118.5 bn versus guidance of ¥106 bn. The company noted that the forex impact was minor, as with shipments, but the degree of upside versus guidance was largest in equipment, followed by consumables, and then miscellaneous others. We estimate that 2Q consolidated sales could have been around the mid-¥140 bn level, meaning they are likely to have slightly exceeded the Bloomberg consensus of just over ¥139 bn. We estimate 2Q operating profits of

BUY

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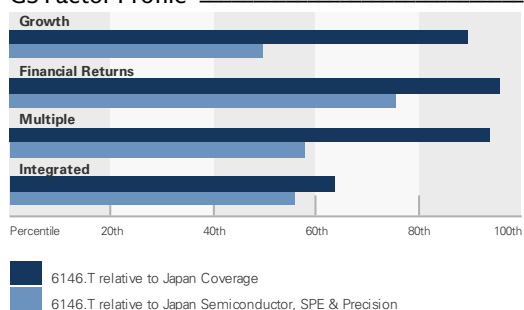
Key Data

Market cap: ¥7.1tr / \$44.7bn
Enterprise value: ¥6.7tr / \$42.4bn
3m ADTV: ¥99.3bn / \$623.0mn
Japan
Japan Semiconductor, SPE & Precision
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	436.9	598.7	772.6	918.0
Op. profit (¥ bn) New	185.0	290.6	393.5	477.8
Op. profit (¥ bn) Old	185.0	289.4	387.5	469.1
Op. profit CoE (¥ bn)	—	—	—	—
EPS (¥) New	1,249.5	1,996.9	2,700.3	3,277.5
EPS (¥) Old	1,249.5	1,988.6	2,659.8	3,217.5
P/E (X)	37.9	32.6	24.1	19.9
P/B (X)	8.7	9.4	7.3	5.9
CROCI (%)	42.0	53.2	59.0	60.7
EPS (¥)	315.8	478.1	527.0	676.0

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

DISCO (6146.T)

Rating since Jun 24, 2022

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	37.9	32.6	24.1	19.9
P/B (X)	8.7	9.4	7.3	5.9
FCF yield (%)	2.0	2.1	3.0	4.0
EV/EBITDAR (X)	24.3	21.8	15.9	12.9
EV/EBITDA (excl. leases) (X)	24.3	21.8	15.9	12.9
CROCI (%)	42.0	53.2	59.0	60.7
ROE (%)	25.1	32.4	34.2	32.9
Net debt/equity (%)	(48.4)	(50.3)	(53.1)	(56.1)
Net debt/equity (excl. leases) (%)	(48.4)	(50.3)	(53.1)	(56.1)
Interest cover (X)	30,831.7	—	—	—
Days inventory outst, sales	117.1	97.4	95.7	98.2
Receivable days	42.0	41.5	42.6	44.2
Days payable outstanding	75.3	57.6	57.3	59.4
DuPont ROE (%)	23.0	28.9	30.4	29.6
Turnover (X)	0.6	0.7	0.7	0.7
Leverage (X)	1.3	1.2	1.2	1.1
Gross cash invested (ex cash) (¥)	396.6	478.3	571.6	660.4
Average capital employed (¥)	283.5	338.0	412.5	489.6
BVPS (¥)	5,419.0	6,910.7	8,890.0	11,055.5

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	11.1	37.0	29.0	18.8
EBITDA growth	11.6	53.8	33.8	20.9
EPS growth	9.3	59.8	35.2	21.4
DPS growth	22.3	42.8	54.2	39.1
EBIT margin	42.3	48.5	50.9	52.0
EBITDA margin	45.7	51.3	53.2	54.1
Net income margin	31.0	36.2	37.9	38.7

Price Performance

Source: FactSet. Price as of 6 Oct 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	436.9	598.7	772.6	918.0
Cost of goods sold	(130.4)	(164.3)	(209.5)	(246.5)
SG&A	(87.3)	(103.8)	(124.6)	(143.7)
R&D	(34.2)	(40.0)	(45.0)	(50.0)
Other operating inc./exp.)	—	—	—	—
EBITDA	199.8	307.3	411.2	497.0
Depreciation & amortization	(14.8)	(16.7)	(17.7)	(19.2)
EBIT	185.0	290.6	393.5	477.8
Net interest inc./exp.)	0.3	0.3	0.4	0.5
Income/(loss) from associates	0.1	0.6	0.7	0.8
Pre-tax profit	183.8	292.5	395.6	480.1
Provision for taxes	(48.2)	(75.9)	(102.7)	(124.6)
Minority interest	(0.1)	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	135.5	216.6	292.9	355.5
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	135.5	216.6	292.9	355.5
EPS (basic, pre-exception) (¥)	1,249.5	1,996.9	2,700.3	3,277.5
EPS (diluted, pre-exception) (¥)	1,249.5	1,996.9	2,700.3	3,277.5
EPS (basic, post-exception) (¥)	1,249.5	1,996.9	2,700.3	3,277.5
EPS (diluted, post-exception) (¥)	1,249.5	1,996.9	2,700.3	3,277.5
DPS (¥)	505.0	721.0	1,112.0	1,547.0
Div. payout ratio (%)	40.4	36.1	41.2	47.2

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	284.6	377.5	512.2	672.8
Accounts receivable	57.5	78.8	101.6	120.8
Inventory	141.3	178.0	227.0	267.1
Other current assets	11.2	11.2	11.2	11.2
Total current assets	494.6	645.5	852.1	1,071.9
Net PP&E	223.2	239.5	254.8	275.6
Net intangibles	0.3	0.3	0.3	0.3
Total investments	3.9	4.5	5.2	6.0
Other long-term assets	21.4	21.4	21.4	21.4
Total assets	743.4	911.2	1,133.8	1,375.2
Accounts payable	22.9	28.9	36.8	43.4
Short-term debt	—	—	—	—
Short-term lease liabilities	—	—	—	—
Other current liabilities	131.5	131.5	131.5	131.5
Total current liabilities	154.5	160.4	168.4	174.9
Long-term debt	—	—	—	—
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	0.8	0.8	0.8	0.8
Total long-term liabilities	0.8	0.8	0.8	0.8
Total liabilities	155.3	161.2	169.2	175.7
Preferred shares	—	—	—	—
Total common equity	587.8	749.6	964.3	1,199.2
Minority interest	0.4	0.4	0.4	0.4
Total liabilities & equity	743.4	911.2	1,133.8	1,375.2
Net debt, adjusted	(284.6)	(377.5)	(512.2)	(672.8)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	135.5	216.6	292.9	355.5
D&A add-back	14.8	16.7	17.7	19.2
Minority interest add-back	0.1	—	—	—
Net (inc)/dec working capital	(21.9)	(52.1)	(63.9)	(52.7)
Other operating cash flow	5.0	(0.6)	(0.7)	(0.8)
Cash flow from operations	133.5	180.6	246.0	321.2
Capital expenditures	(32.7)	(33.0)	(33.0)	(40.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(103.1)	—	—	—
Cash flow from investing	(135.8)	(33.0)	(33.0)	(40.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(54.8)	(78.2)	(120.6)	(167.8)
Inc/(dec) in debt	—	—	—	—
Other financing cash flows	112.4	23.4	42.4	47.2
Cash flow from financing	57.6	(54.8)	(78.2)	(120.6)
Total cash flow	55.4	92.9	134.8	160.6
Free cash flow	100.8	147.6	213.0	281.2

Source: Company data, Goldman Sachs Research estimates.

¥69.5 bn, and believe profits are likely to have beaten the Bloomberg consensus of ¥63.2 bn by around 10%.

Expect equipment shipments to expand, with tailwinds from various technological changes

We raise our FY3/28 and FY3/29 operating profit estimates by 2% each to reflect the 2Q shipment beat driven mainly by consumables (we fine-tune our FY3/27 estimates). We maintain our 12-month target price of ¥105,000 and reiterate our Buy rating. Despite apparent deep-seated market concerns that equipment demand will be hit by a decrease in HBM layer counts (de-spec'ing), we think a negative impact is unlikely given the ongoing tight HBM supply. Moreover, we expect shipment momentum to ratchet higher as Disco benefits from OSAT advanced packaging investments and various technological changes, including EMIB-T, hybrid bonding, and co-packaged optics (CPO). Therefore, we maintain our view that there is significant room for market consensus to rise.

Exhibit 1: DISCO: Earnings summary

DISCO (6146.T)														
(JPY mn)		GSE	GSE	GSE	CoE									
Consolidated income statement	3/2026	3/2027	3/2028	3/2029	3/2027	3/2026 1Q	3/2026 2Q	3/2026 3Q	3/2026 4Q	3/2027 1Q	GSE	GSE	GSE	CoE
Sales	436,889	598,700	772,600	918,000		89,914	104,623	109,291	133,061	114,308	145,200	153,500	185,692	128,492
Operating profits	184,989	290,600	393,500	477,800		34,480	44,391	47,341	58,777	49,033	69,500	76,600	95,467	55,867
Recurring profits	184,936	292,500	395,600	480,100		33,999	45,466	46,986	58,485	48,441	70,000	77,100	96,959	56,359
Net income	135,521	216,600	292,900	355,500		23,767	32,146	36,726	42,882	34,221	51,800	57,100	73,479	39,579
EBITDA	199,810	307,300	411,200	497,000										
Margins														
Gross profits	70.1%	72.6%	72.9%	73.1%		68.1%	69.5%	71.4%	70.9%	71.3%	72.0%	74.0%	72.6%	
EBITDA	45.7%	51.3%	53.2%	54.1%										
Operating profits	42.3%	48.5%	50.9%	52.0%		38.3%	42.4%	43.3%	44.2%	42.9%	47.9%	49.9%	51.4%	43.5%
Recurring profits	42.3%	48.9%	51.2%	52.3%		37.8%	43.5%	43.0%	44.0%	42.4%	48.2%	50.2%	52.2%	43.9%
Net income	31.0%	36.2%	37.9%	38.7%		26.4%	30.7%	33.6%	32.2%	29.9%	35.7%	37.2%	39.6%	30.8%
R&D	34,156	40,000	45,000	50,000	38,000	7,591	8,070	8,552	9,943	9,366				
D&A	14,821	16,700	17,700	19,200	16,000	3,420	3,570	3,837	3,994	4,004				
Capex	32,708	33,000	33,000	40,000	33,000	4,919	7,963	3,688	16,138	3,351				
EPS (JPY)	1,249.8	1,996.9	2,700.3	3,277.5		219.2	296.5	338.7	395.4	315.5				364.9
DPS (JPY)	505.0	721.0	1,112.0	1,547.0										
BPS (JPY)	5,422.4	6,899.7	8,879.1	11,044.6										
Assumption														
USD/JPY	151	160	160	160		144	148	156	157	160	159	160	160	159
EUR/JPY	176	182	180	180		166	172	181	184	186	183	180	180	182
Revenue by product <Based on shipment>														
Precision Processing Equipment	274,800	399,100	520,800	620,400		74,400	56,800	69,300	74,200	85,500	97,000	103,000	113,600	94,700
Dicer	137,700	196,500	258,000	305,500		38,900	27,900	31,800	38,900	44,800	49,000	50,000	52,700	49,400
Grinder	122,600	175,000	226,100	270,500		32,200	26,000	34,100	30,400	35,300	41,500	46,000	52,200	38,800
Other related equipment	14,500	27,600	36,700	44,400		3,300	2,900	3,400	4,900	5,400	6,500	7,000	8,700	6,500
Consumables	94,700	123,800	154,900	185,900		21,100	23,100	25,000	25,500	27,200	32,000	34,000	30,600	27,200
Maintenance parts and others	72,900	88,700	106,500	122,500		15,600	17,300	19,300	20,700	21,700	21,000	23,000	23,000	17,400
Total	442,824	611,600	782,200	928,800		111,142	96,351	113,665	121,664	135,906	150,000	160,000	165,694	140,994
Revenue by product <Based on customer acceptance>														
Precision Processing Equipment	275,300	395,200	522,000	622,000		54,000	63,800	66,700	86,400	66,200	94,000	100,000	135,000	
Dicer	139,800	196,500	261,000	309,100		31,500	34,500	30,600	39,900	35,400	48,000	48,000	63,100	
Grinder	118,000	165,400	216,700	259,300		19,800	26,200	32,800	41,200	27,400	40,000	42,000	56,000	
Other related equipment	17,500	33,300	44,300	53,600		2,700	3,100	3,300	5,300	3,400	6,000	8,000	15,900	
Consumables	96,100	123,800	154,900	185,900		20,700	23,000	25,100	25,300	27,400	32,000	34,000	30,400	
Maintenance parts and others	65,500	79,700	95,700	110,100		15,300	16,700	17,500	20,000	19,400	19,200	19,500	21,600	
Total	436,889	598,700	772,600	918,000		89,914	104,623	109,291	133,061	114,308	145,200	153,500	185,692	128,492

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Disco

We are Buy rated on Disco given prospects for earnings growth fueled by its multiple structural growth drivers. Among SPE names in our coverage, Disco produces equipment used in back-end processes, with a global market share of more than 70% in dicers and grinders, which are mainly used for cutting and grinding semiconductor chips. We believe earnings expectations will expand based on the high likelihood of additional investment in both HBM and CoWoS driven by strong generative AI demand, while new growth drivers such as hybrid bonding are also contributing to earnings. We think expectations for stronger earnings will rise further given Disco's multiple structural growth drivers; these include demand for generative AI-related equipment as well as

back-end process automation, advanced packaging, and bonding equipment.

Price Target Risks and Methodology - Disco

Valuation methodology: Our 12-month target price of ¥105,000 is based on our FY3/28E EBITDA estimate, the global SPE sector average EV/EBITDA of 18X, and a sector-relative premium of 50% in view of Disco's high profitability (our TP implies FY3/28E P/E of 39X and P/B of 12X). We are Buy rated.

Key risks: Yen appreciation against the US dollar, slowdown in China demand or tightening of export controls, slowdown in AI-related demand, loss of market share, and deterioration in margins.

Disclosure Appendix

Reg AC

We, Shuhei Nakamura and Kaho Otake, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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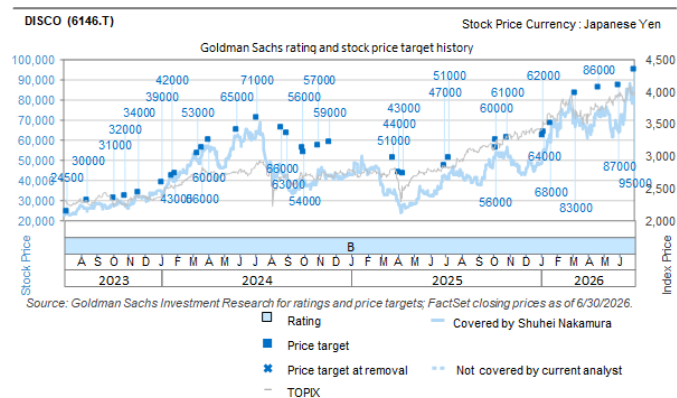
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Target price history table(s)

DISCO (6146.T)

Date of report Target price (¥) Closing price (¥)

23-Aug-26	105,000	61,360
06-Jul-26	100,000	78,000
30-Jun-26	95,000	81,260
31-May-26	87,000	65,090
22-Apr-26	86,000	74,830
09-Mar-26	83,000	66,500
21-Jan-26	68,000	58,570
08-Jan-26	64,000	55,590
06-Jan-26	62,000	54,200
29-Oct-25	61,000	56,390
08-Oct-25	60,000	52,140
06-Oct-25	56,000	54,000
09-Jul-25	51,000	41,290
30-Jun-25	47,000	42,630
13-Apr-25	43,000	27,470
04-Apr-25	44,000	27,635
24-Mar-25	51,000	33,060
21-Nov-24	59,000	42,380
01-Nov-24	57,000	42,810
04-Oct-24	54,000	39,710
02-Oct-24	56,000	37,410
02-Sep-24	63,000	41,350
22-Aug-24	66,000	43,560
04-Jul-24	71,000	64,580
27-May-24	65,000	61,790
04-Apr-24	60,000	56,750
21-Mar-24	56,000	52,960
13-Mar-24	53,000	50,000
31-Jan-24	43,000	40,380
24-Jan-24	42,000	40,730
04-Jan-24	39,000	33,630
21-Nov-23	34,000	32,030
26-Oct-23	32,000	26,960

Price targets shown in table(s) are unadjusted for corporate actions.

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